ABC TECHNOLOGIES ? INTERNAL AUDIT REPORT

Reference: AUD-2026-003
Audit Period: Q2 2026 / July 2026
Report Date: 15 July 2026
Prepared by: Internal Audit Team
Reviewed by: Chief Information Security Officer
Classification: Confidential ? Internal Use Only

This report presents findings from the Q2 2026 internal audit of ABC Technologies.
Prior audit: AUD-2026-002 (April 2026).

1. AUDIT SCOPE AND METHODOLOGY

1.1 Scope
Controls reviewed in this cycle:
- Control SEC-014: Employee Access Reviews (IT Operations)
- Control SEC-007: Secure Software Development (Engineering)
- Control SEC-015: Security Awareness and Training (HR)
- Control SEC-018: Audit Logging and Monitoring (IT Operations)

1.2 Methodology
- Document review and evidence collection
- Interviews with Engineering Lead, HR Manager, IT Operations Manager
- Technical inspection: training records, log retention reports, SAST results

Fieldwork: 01 July 2026 to 15 July 2026.

2. EXECUTIVE SUMMARY

Two findings identified. Both Medium severity. This represents a material improvement compared to AUD-2026-002 (April 2026, two High, one Medium) and AUD-2026-001 (January 2026, one High, two Medium).

FINDING SUMMARY TABLE

ID	Control	Title	Severity	Dept
F1	SEC-014	Employee Access Reviews ? One Approval	Medium	IT Operations
F2	SEC-007	SAST Findings Not Formally Tracked	Medium	Engineering

The Q2 2026 access review (Control SEC-014) was largely completed on time. However the IT Operations Manager approval signature is missing from the July 2026 review record (Access_Review_Jul2026). All other elements ? including HR sign-off and privileged account coverage ? are present and satisfactory. This represents significant progress over prior cycles.

3. DETAILED FINDINGS

FINDING F1: Employee Access Reviews ? Single Approval Missing
Control: SEC-014 Employee Access Reviews
Department: IT Operations
Severity: Medium
Status: Open
Report Date: 15 July 2026

DESCRIPTION
The Q2 2026 employee access review for IT Operations was completed on schedule (10 July 2026). All 42 user accounts were reviewed, all 8 privileged accounts were covered, and the HR sign-off confirming no active leavers is present.

However, the IT Operations Manager approval signature is absent from the final access review record (Access_Review_Jul2026). Per Control SEC-014, both the IT Operations Manager and HR must approve the completed review record before it can be considered evidenced.

This is a reduced scope versus previous audit cycles (AUD-2026-001, AUD-2026-002) where multiple approval records and coverage gaps existed.

EVIDENCE REVIEWED
- Access_Review_Jul2026 submitted 10 July 2026
- Active Directory export 10 July 2026 ? consistent with review
- HR sign-off present and dated 10 July 2026
- IT Operations Manager approval: MISSING

EVIDENCE REQUIRED (Control SEC-014)
Signed access review record with approval from IT Operations Manager and HR, covering all privileged accounts and application access lists.

RECOMMENDATION
1. Obtain IT Operations Manager signature on Access_Review_Jul2026.
2. No further access or coverage gaps were identified ? good progress.
3. Consider implementing a digital approval workflow to avoid future omissions of approval signatures.

TARGET REMEDIATION DATE: 22 July 2026
OWNER: IT Operations Manager

3. DETAILED FINDINGS (continued)

FINDING F2: SAST Findings Not Formally Tracked
Control: SEC-007 Secure Software Development
Department: Engineering
Severity: Medium
Status: Open
Report Date: 15 July 2026

DESCRIPTION
Static Application Security Testing (SAST) scans are being performed as part of the CI/CD pipeline. However, findings from these scans are not formally tracked in a risk register or issue tracker with assigned owners and remediation deadlines. Three medium-severity SAST findings from June 2026 have no documented remediation status.

RECOMMENDATION
Integrate SAST findings into the existing risk register process.
Assign owners and remediation SLAs to all open SAST findings.
Engineering Lead to review and triage the June 2026 findings within 10 days.

TARGET REMEDIATION DATE: 25 July 2026
OWNER: Engineering Lead